

Ashgrove Diagnostics

The Ashgrove Diagnostics board had three papers in front of it and a habit of approving the first one that sounded reasonable.

Ashgrove made a point-of-care immunoassay panel for respiratory pathogens, sold to urgent-care clinics and physician offices. The panel had been the company's only meaningful product for nine years. Its composition-of-matter patent expired in eighteen months, and two generic manufacturers had already filed. Ashgrove's management had spent the last year modelling what happened next, and had concluded that revenue would fall by roughly half in the first year after expiry and continue down from there.

The three papers were titled Continue, Divest, and Next Generation, and they had been written by three different people who each believed their own.

Continue. Run the existing panel down. No new investment beyond a \$1.4 million regulatory revalidation that the FDA had scheduled for next year and that could not be deferred. Cash flows declining to essentially nothing by year five, at which point the \$3.1 million of working capital tied up in the line would be released.

Divest. Sell the panel — the approvals, the trademarks, the customer list, and the tooling — to Pallavicini Labs, a generic house that had made an unsolicited offer of \$9.5 million. Net book value of the assets was \$6.2 million. The working capital would be released as well, and the revalidation would become Pallavicini's problem.

Next Generation. Invest \$14.5 million to develop and launch a multiplex version of the panel that added four additional targets and ran on the installed base of readers already sitting in ten thousand clinics. Two years of development, then launch into a market Ashgrove already knew. The existing panel would be run alongside it during the transition and would then be retired.

The three cash flow forecasts are in Exhibit 1. Ashgrove's cost of capital was 11 percent, which was the rate it had used on every project for six years.

Yusra Halabi, the newest director, had asked in the previous meeting whether 11 percent was the right rate for a development program that did not yet have a product, in a company whose entire revenue base was about to be attacked. She had not been given an answer, only an assurance that 11 percent was the company's number.

EXHIBIT 1 — THE THREE ALTERNATIVES (\$ MILLIONS, AFTER TAX)

YEAR	CONTINUE	NEXT GENERATION
0	—	(14.5)
1	3.1	3.1
2	3.0	2.0
3	1.9	7.4
4	1.1	9.4
5	3.7	10.2
6	—	8.4
7	—	9.6

Continue year 1 is \$4.5 million of operating cash flow less the \$1.4 million revalidation. Continue year 5 includes the \$3.1 million working capital release. Next Generation years 1 and 2 are the existing panel during development, less development spending; the working capital release appears in its year 7.

Divest: \$9.5 million of proceeds against \$6.2 million of book value, taxed at 25 percent on the gain, plus the \$3.1 million working capital release, all at year 0.

ASSIGNMENT

- 1 Compute the NPV of each alternative at 11 percent. Rank them.
- 2 One of the three alternatives is dominated at every discount rate you might reasonably use. Identify it and say why that is worth knowing before the discount rate argument starts.
- 3 Recompute at 14 percent and at 17 percent. Find the rate at which the ranking of the top two reverses.
- 4 Halabi's question. Should Next Generation be discounted at Ashgrove's company rate? Argue both sides and then commit.
- 5 Ashgrove has a fourth option nobody wrote a paper on: wait twelve months and see whether the generic filings are approved and how Pallavicini's offer moves. What would that option be worth, and what does it cost?